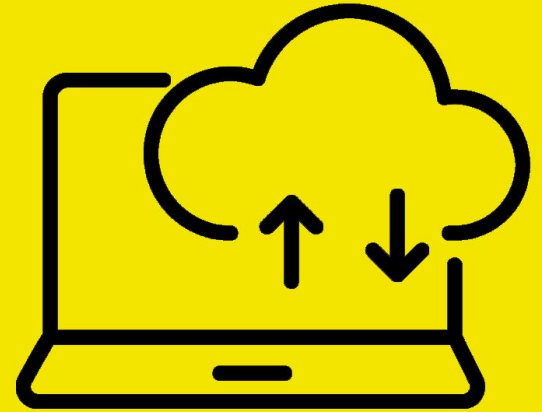


The SaaS Brief

An overview of the UK's
Software-as-a-Service sector



Beauhurst

Software-as-a-Service (SaaS) is a technology distribution model where software is hosted by a third-party and accessed via the cloud. This technology is often licensed on a subscription basis, for example the Beauhurst platform. The popularity of this sector has grown rapidly, with over 2,000 ambitious SaaS companies spread across the UK.

The sector encompasses software companies operating in a whole range of specialities, from fintech to adtech to artificial intelligence. Almost 15% of all fundraisings since 2011 have been secured by SaaS companies, making it a critical sector in the UK's high-growth ecosystem.

What do we mean by “high-growth” and “ambitious”?

We use 8 criteria to identify high-growth and ambitious companies. Each of these is a sign of external validation that a business is either actively growing or creating ambitious growth plans.

All companies featured in this report have met at least one of these growth triggers.



Equity investment



Venture debt



Accelerator attendance



Grant recipients



Scaleups



High-growth lists



MBO/MBI



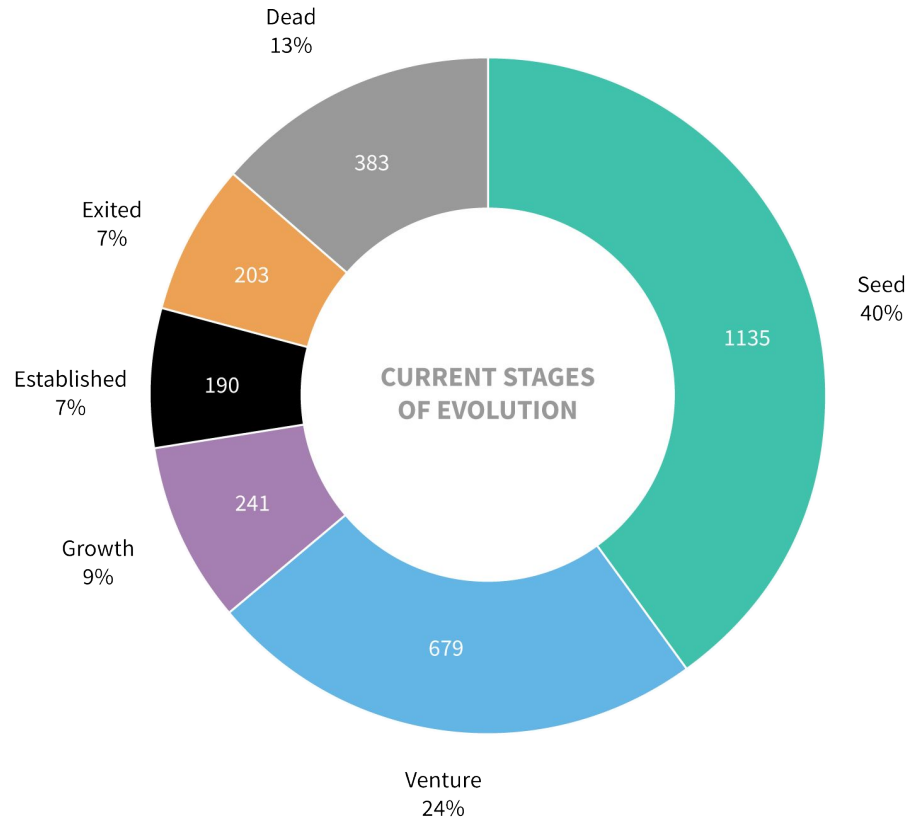
Academic spinouts

Stages of evolution

There are **2,245** active, ambitious SaaS companies in the UK.

An additional **203** have exited the market, either through an IPO or an acquisition, and **383** are no longer trading.

The sector is dominated by seed and venture stage companies (**64%**). Exit and death rates are very similar to sector-agnostic figures, but – as with other tech sectors – there are significantly fewer companies at the established stage.



Methods of growth

78% of high-growth SaaS companies have secured equity finance since 2011, worth a combined **£6.34b**. A smaller proportion of these companies have died (12% vs. 16%) compared to those without funding, but these companies also tend to be at an earlier stage and may be too young to draw definitive conclusions.

Almost a third (32%) of SaaS businesses have attended an accelerator programme compared to 22% across all high-growth companies. However, only 5% have reached scaleup status, significantly fewer than the the sector-agnostic figure of 17%.

Raised equity

2198

Visible scaleups

148

Received grants

491

Spun out of a university

93

Attended accelerators

907

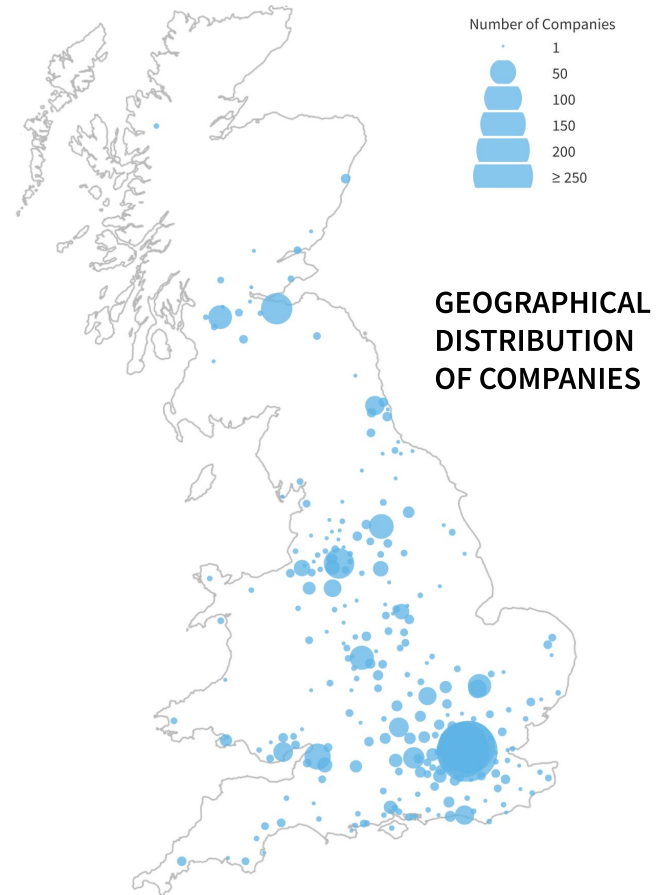
Featured on a high-growth list

367

Geographical distribution

High-growth SaaS companies are well distributed across Great Britain. London hosts the most with **1,405** across the Greater London area, 256 of which are in the City of London. But there are also significant hubs in Greater Manchester (101), Edinburgh (66) and Bristol (46).

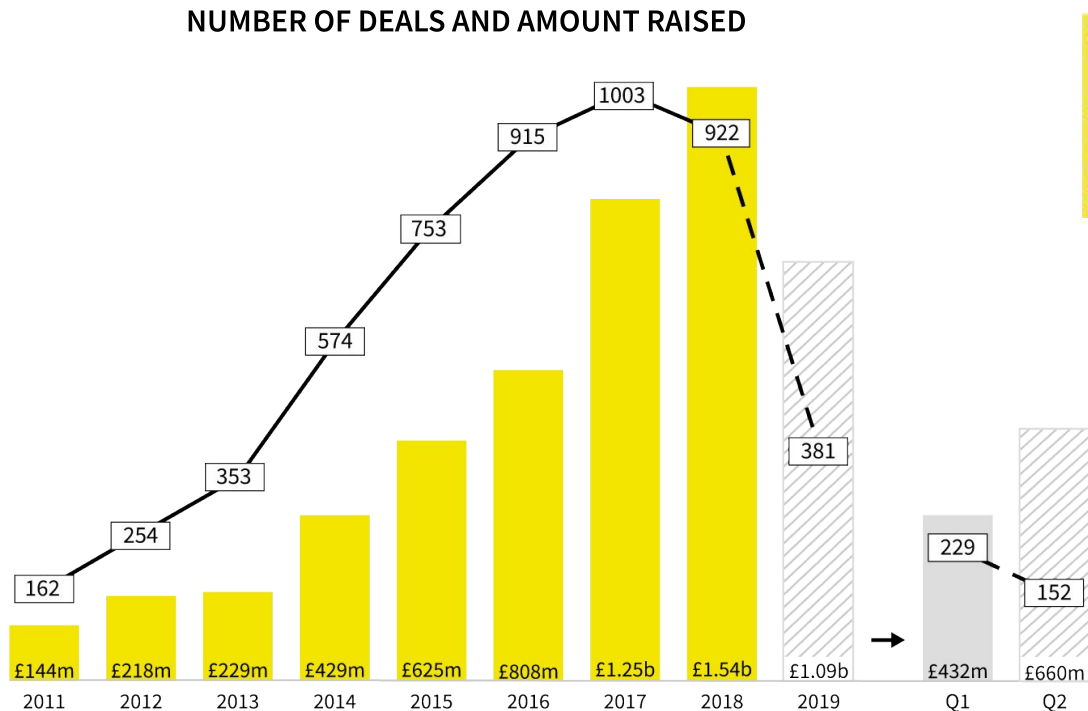
Businesses in Scotland (150) and Wales (71) are benefitting from the continued support by regional investors including Scottish Enterprise and Development Bank of Wales.



Fundraising statistics

The number of deals in SaaS companies peaked in 2017 but, encouragingly, the total amount invested continued to rise in 2018. This is explained by the drop in smaller, seed stage deals last year, and an increase in average deal size across sectors.

2019 is on track to be the biggest on record in terms of amount invested. Indeed, whilst still incomplete, Q2 2019 has seen more pounds invested than any previous quarter. However, the number of deals is flagging behind and may even fail to reach levels seen in 2016 by the end of the year.

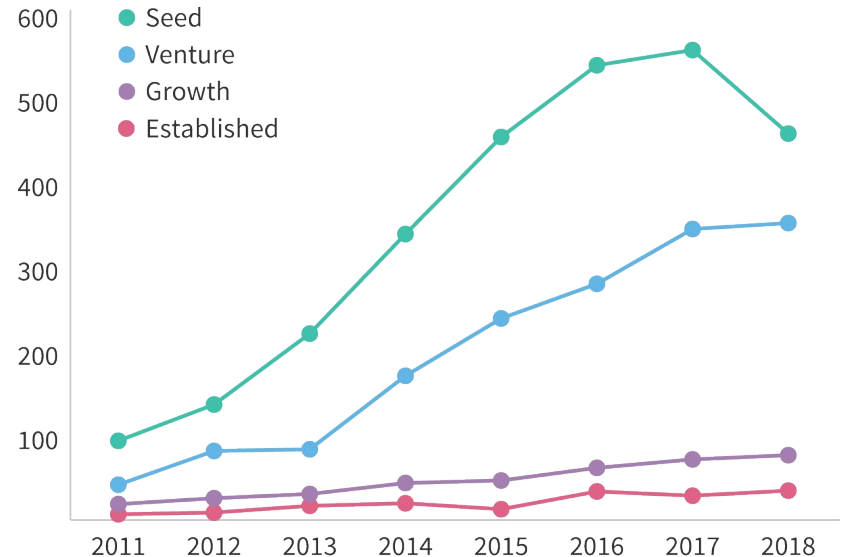


Fundraising statistics

In keeping with trends seen across sectors, seed stage deals into SaaS companies have taken a tumble. Worryingly, this nose-dive is even steeper than sector-agnostic data. As these seed stage deals support and replenish the pipeline of high-potential companies, a lack of support for these could lead to faltering growth for the sector.

The number of deals into companies at later stages of growth has plateaued. It remains to be seen whether this increase in risk aversion amongst investors will have a knock-on effect for venture and growth stages companies in the future.

NUMBER OF DEALS BY STAGE OF EVOLUTION



Top investors

Two government investors, Scottish Enterprise and Development Bank of Wales, have made large numbers of investments into the sector, backing 36 and 27 SaaS companies respectively.

Mercia Technologies and Notion Capital are also key investors in this sector. It's no surprise that Notion Capital has made the ranking, as its investment remit is specifically focused on enterprise tech and SaaS companies across Europe. They have a strong focus in the UK, backing 19 companies headquartered in Britain.

TOP FUND MANAGERS BY NUMBER OF DEALS SINCE 2011

Scottish Enterprise	77
Mercia Technologies	55
Development Bank of Wales	50
Notion Capital Partners LLP	40
Octopus Group	29

Top buzzwords

Ambitious Software-as-a-Service companies are operating across the spectrum of emerging technology, from edtech to big data. With such broad applications, it is unsurprising that fintech and artificial intelligence, two of the UK's most active verticals, are also the most popular points of crossover for SaaS companies.

The top two most valuable high-growth SaaS companies in the UK, Checkout.com and WorldRemit, also operate within fintech.

TOP BUZZWORDS BY NUMBER OF COMPANIES

FinTech	323
Artificial Intelligence	310
Big data	150
EdTech	150
AdTech	141

Top companies by latest pre-money valuation



Checkout.com's software allows businesses to process payments online in multiple currencies.

Location

Westminster City Council

Stage of evolution

Growth

Total amount raised

£176m

Latest pre-money valuation

Estimated ~ £1.5b



WorldRemit's online platform enables migrants to send remittances abroad.

Location

Westminster City Council

Stage of evolution

Established

Total amount raised

£311m

Latest pre-money valuation

£437m



Acturis has an administration, distribution and underwriting platform for insurance experts.

Location

Camden London Borough Council

Stage of evolution

Established

Total amount raised

£25.9m

Latest pre-money valuation

£385m

Top companies by growth in turnover

CASTLIGHT

a safer financial world

Castlight develops tech which lets lenders analyse their customer's ability to afford financial products.

Location

Glasgow City Council

Stage of evolution

Venture

Latest turnover

£2.98m

Growth from previous

165%



Reactive Technologies develops software to help reduce energy consumption at large companies.

Location

City of London

Stage of evolution

Growth

Latest turnover

£397k

Growth from previous

153%



Ecometrica has developed a web-based service that lets businesses monitor their emissions.

Location

Westminster City Council

Stage of evolution

Growth

Latest turnover

£5.50m

Growth from previous

109%

Access all this data with a subscription to Beauhurst

Beauhurst is a searchable database of the UK's most ambitious companies – from seed-stage startups to growing scaleups and beyond.

We collect and manually curate hundreds of data-points on over 23,000 companies. Our new Explore page allows you to access all this information, live.

Find, analyse and download information with a subscription to Beauhurst.

